

Oakwood Learning Studio

5-Year Financial Overview for Board Review

Prepared March 29, 2026

 **Financial Outlook: The school's financial outlook is strong.**

7 health dimensions are in good standing, 1 should be monitored.

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This summary is generated from the school's financial model for board discussion purposes.

Financial Outlook at a Glance

The school's financial outlook is strong. 7 health dimensions are in good standing, 1 should be monitored.

 **Cash Position: Cash remains positive through the full 5-year projection**

Financial Overview

Oakwood Learning Studio projects \$404,383 in Year 5 revenue, with 2 of 12 key metrics that need attention. This is a starting point, and working through the recommendations below will help you build the financial story your mission deserves. Cash flow remains positive over the full 5-year period.

[~] Lender Readiness: Not Yet Ready

[~] Biggest Strength: Strong Year 5 profit

[~] Biggest Risk: Operating costs are on the higher side, presenting an opportunity to find efficiencies

[~] Cash Runway: 60+ months

School Overview

Oakwood Learning Studio is a Startup / Pre-Opening Microschool organized as a LLC (Single Member) with a Tuition-Based funding profile.

5-Year Financial Projection

The model reaches break-even in Year 1. Year 5 net income is projected at \$150K (37.1% margin).

[+] Revenue per Student (Year 1): \$10,076

[!] Cost per Student (Year 1): \$9,572

[+] Staffing Cost (% of Revenue): 44.2%

[!] Operating Cost (% of Revenue): 42.0%

[+] Profit margin (Year 1): 13.8%

[+] Profit margin (Year 5): 33.4%

5-Year Net Income Projection

Year	Students	Revenue	Expenses	Net Income	Margin
Year 1	20	\$202K	\$187K	\$15K	7.4%
Year 2	26	\$254K	\$242K	\$11K	4.5%
Year 3	32	\$311K	\$248K	\$63K	20.3%
Year 4	37	\$364K	\$252K	\$112K	30.8%
Year 5	40	\$404K	\$254K	\$150K	37.1%

Financial Health Assessment

Across 8 health dimensions: 7 healthy, 1 on watch, 0 at risk.

[+] viability: Healthy
 [+] liquidity: Healthy
 [+] staffing burden: Healthy
 [+] facility burden: Healthy
 [+] debt affordability: Healthy
 [+] revenue concentration: Healthy

Health Dimensions

Dimension	Status	Details
Viability	Healthy	The model reaches profit early and sustains strong margins through Year 5.
Liquidity	Healthy	Cash stays positive throughout the projection and reserves exceed 3 months of expenses.
Staffing Burden	Healthy	Staffing at 44% of revenue leaves room for facilities, programs, and reserves.
Facility Burden	Healthy	Facility costs at 11% of revenue are well-managed and leave budget for programs.
Debt Affordability	Healthy	DSCR of 2.57x provides comfortable coverage of debt payments with room to spare.
Revenue Concentration	Healthy	Revenue is anchored to enrollment-driven income — the strongest foundation for a school model. A focused revenue stream is a strength when backed by dependable demand.
Days Cash	Watch closely	58 days of cash on hand is above the minimum but below the 90-day target. A large unexpected cost could create a cash crunch.
Reserve Strength	Healthy	15.2 months of reserves by Year 5 — a strong buffer for unexpected costs.

Key Strengths

The model demonstrates 5 notable strengths.

[+] Revenue per Student (Year 1): \$10,076
 [+] Staffing Cost (% of Revenue): 44.2%
 [+] Profit margin (Year 1): 13.8%
 [+] Profit margin (Year 5): 33.4%
 [+] 5-Year Revenue Growth: 100.7%
 [+] Capacity Utilization (Year 5): 88.9%

What to Watch

The board should be aware of 2 key areas:

1. Enrollment growth needs demand evidence

Demand is the engine of your financial model. Every revenue line, staffing decision, and cost assumption depends on filling seats. If enrollment falls short, the entire model breaks downstream.

Action: Back every enrollment target with documented demand — signed letters of intent, waitlist depth, community survey results, or recruitment pipeline data. Growth over 25% per year typically requires an exceptional recruitment engine or facility expansion.

2. Staffing costs growing faster than enrollment

Hiring ahead of demand locks in fixed costs before the revenue to support them arrives. If enrollment doesn't materialize as planned, staffing becomes an unsustainable burden.

Action: Align staffing additions to enrollment milestones. Hire when students are enrolled, not when you hope they will be. Use part-time or contract roles to bridge gaps.

Recommended Next Steps

1. Look for Opportunities in Operating Costs

Operating costs at 42.0% of revenue are on the higher side. Take a fresh look at each area (facility, student services, and administration) for creative savings. Shared space, volunteer programs, or phasing in services over time are all strategies founders use.

This strengthens the model and reduces future risk.

2. Plan for Tuition Collection & Discount Risk

Private schools face collection risk from late payments, withdrawals, and financial aid shortfalls. With 88.6% of revenue from tuition, build a 5–10% bad debt reserve into your budget. Factor in tuition discount rates for merit/need-based aid and maintain clear enrollment contracts with payment terms.

This strengthens the model and reduces future risk.

3. Document Your Growth Strategy

Great projections are backed by a clear plan. Document your marketing strategy, enrollment pipeline, and community outreach, as this is the roadmap that turns your numbers into reality.

This strengthens the model and reduces future risk.

Scenario Comparison

The model includes 3 scenarios showing how changes in key assumptions affect Year 5 outcomes.

Scenario	Y5 Revenue	Y5 Net Income	Y5 Margin
Conservative (20% fewer students)	\$325K	\$77K	23.6%
Base Case	\$404K	\$150K	37.1%
Aggressive (15% more students, 5% tuition up)	\$491K	\$224K	45.6%